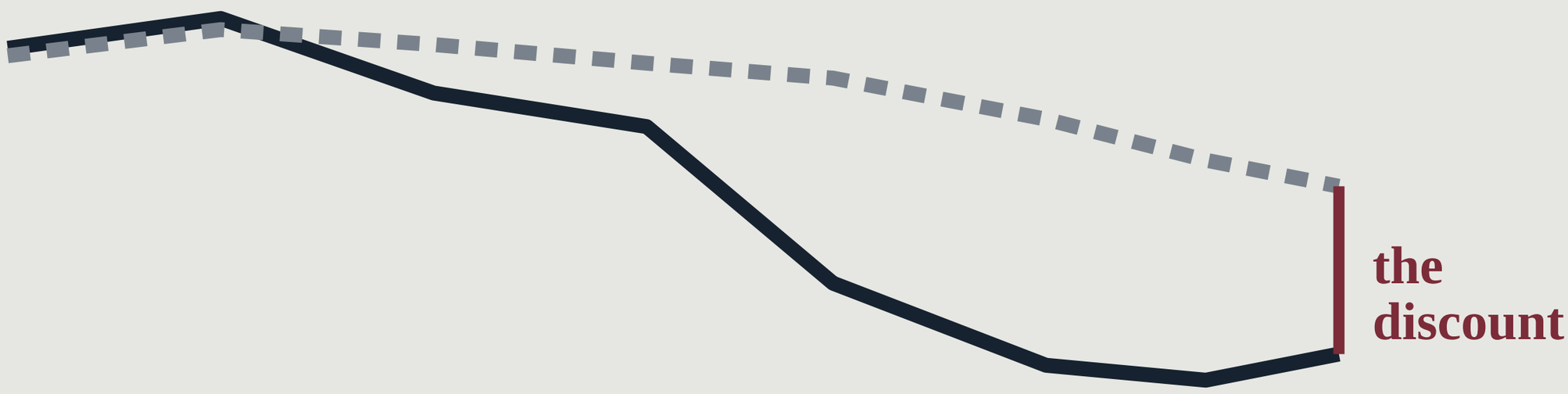
A wide discount is not automatically cheap.

I built a 970-quarter panel of London-listed private equity vehicles to work out what the discount to NAV is actually telling you. It is not what I expected.

Swipe →

One portfolio. Two prices.

A listed private equity vehicle carries a daily public share price and an appraisal-based NAV that updates slowly and gets smoothed. The gap between them is the discount.



Public share price, daily
Appraised NAV, lagged and smoothed

When the cost of capital moves sharply, the two systems stop agreeing. UK interest rates went from near zero to their highest level in decades after 2021, which makes it a clean period to study.

The question

When UK rates move, does the discount widen? And is that discount only a symptom of illiquidity, or is it a signal about what the private marks are going to do next?

- **H1** Rate change widens the discount
- **H2** Concentrated in the hiking regime
- **H3** Transmits via policy path and term premium
- **H4** Market frictions amplify it
- **H5** The discount forecasts the next NAV return

Five hypotheses, each mapped to one sub-question. H4 was written so that it could fail.

The panel

25 London-listed PE vehicles

970 fund-quarters

57,802 cleaned daily records

2015Q2 to 2025Q4 hand-built, unbalanced panel

Fund fixed-effects regression of the discount on the quarterly change in the 10-year gilt, controlling for market return, volatility, credit spreads and illiquidity.

A single rate shock hits every fund in the same quarter, so ordinary standard errors overstate precision. Inference runs a ladder: one-way clustering, two-way by fund and quarter, Driscoll-Kraay, and a wild-cluster bootstrap.

H1 supported, conservatively

Rates up, discount wider

6pp

wider discount for every one percentage point rise in the 10-year gilt yield

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Coefficient on the quarterly gilt change: −0.061.

Significant under Driscoll-Kraay standard errors. Only marginal under two-way clustering by fund and quarter.

> *So I read this as an association consistent with duration, not as a causal effect. The design does not support a causal claim and I do not make one.*

Where it shows up

- **Post-2022 only**
  The association concentrates in the hiking regime.
- **Pre-2022 placebo: nothing**
  Which is what you want a placebo to do.
- **Bank Rate and SONIA agree**
  Weakening at shorter maturities, as duration implies.
- **Both components carry it**
  Policy path and term premium, on the OIS subsample.

The rate channel behaves the way a duration story says it should. That much was the expected part.

H4 not supported, and that is the point

The obvious explanation fails.

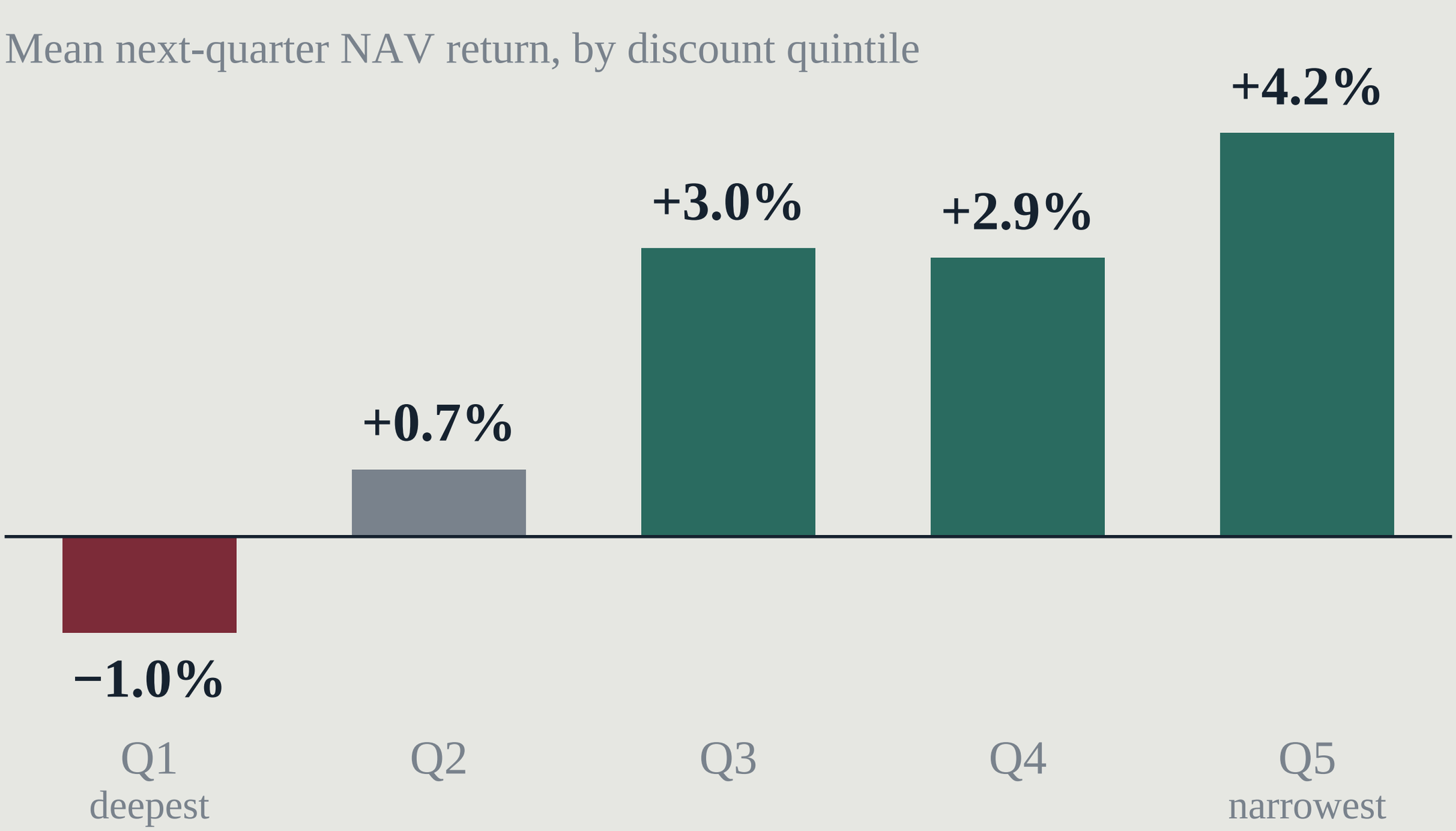
The easy story is frictions: small, illiquid, stale-NAV funds repricing on thin volume. If that were it, the effect would be strongest in the smallest and least liquid vehicles.

> **It reverses. Sensitivity is stronger in the larger, more liquid funds. Liquidity, stress and NAV-age interactions do not amplify anything.**

A null result you designed to be possible is worth more than a confirmation you designed to be easy. This one removes the simplest competing explanation and forces a different reading.

H5 supported. This is the main result

Today's discount predicts next quarter's NAV mark



5.2pp spread between the end quintiles

The order is clean even though it is not perfectly step-by-step. The middle three quintiles land close together.

So the discount is price discovery, not just illiquidity.

If frictions do not explain the widening, and the discount forecasts the next appraisal, then the public price is marking the portfolio down before the valuer does.

So the discount is not just leftover from slow accounting. It is the market telling you where the private marks are headed before the valuer gets there.

I read all of this as association, not proof. It is not a clean causal experiment and I say so in the paper.

What to do with it

If you hold the vehicle

Part of a wide discount can be an expected NAV markdown, not a bargain. Price rate exposure, valuation credibility, liquidity and capital policy together.

If you allocate to unlisted PE

The listed discount gives you a daily, market-implied read on where private marks may be heading, ahead of the next valuation cycle.

If you sit on a board

Expect the public price to move first. A widening discount is information about the next mark, not only sentiment.

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Happy to talk through the method if it is useful